

We incline strongly to the belief that this last criterion—a price far less than value to a private owner—will constitute a sound touchstone for the discovery of true investment opportunities in common stocks. This view runs counter to the convictions and practice of most people seeking to invest in equities, including practically all the investment trusts. Their emphasis is mainly on long-term growth, prospects for the next year, or the indicated trend of the stock market itself. Undoubtedly any of these three viewpoints may be followed successfully by those especially well equipped by experience and native ability to exploit them. But we are not so sure that any of these approaches can be developed into a system or technique that can be confidently followed by everyone of sound intelligence who has studied it with care. Hence we must raise our solitary voice against the use of the term *investment* to characterize these methods of operating in common stocks, however profitable they may be to the truly skillful. Trading in the market, forecasting next year's results for various businesses, selecting the best media for long-term expansion—all these have a useful place in Wall Street. But we think that the interests of investors and of Wall Street as an institution would be better served if operations based primarily on these factors were called by some other name than investment.

Whether or not our own concept of common-stock investment is a valid one may be more intelligently considered after we have given extended treatment to the chief factors that enter into a statistical analysis of a stock issue. The need for such analysis is quite independent of our investment philosophy. After all, common stocks exist and are actively dealt in by the public. Those who buy and sell will properly seek to arm themselves with an adequate knowledge of financial practice and with the tools and technique necessary for an intelligent analysis of corporate statements.

Such information and equipment for the common-stock investor form the subject matter of the following chapters.